

SENIOR CONSTRUCTION & BRIDGE DEBT · MIDDLE MARKET CRE

Debt Investments in Middle Market *Real Estate*

A different way to participate in the Same Real Estate Assets.

PREPARED FOR

FAMILY OFFICE PARTNERS

CONFIDENTIAL — 2026

AUTHOR

FOREST WAY CAPITAL

THE FRAMING

Two ways to invest in real estate.

Same deals. Same Real Estate Assets. Different seat at the table.

EQUITY

You *own* the asset.

Returns come from cash flow and appreciation over a 3–7 year hold.

You benefit most when the deal performs as projected — lease-up, cap rates, exit timing all matter.

You wait.

DEBT

You *finance* the asset.

Returns come from interest — contractual, paid in cash each quarter.

You sit above the equity in the capital stack and get paid before anyone else.

You get paid.

CAPITAL STACK

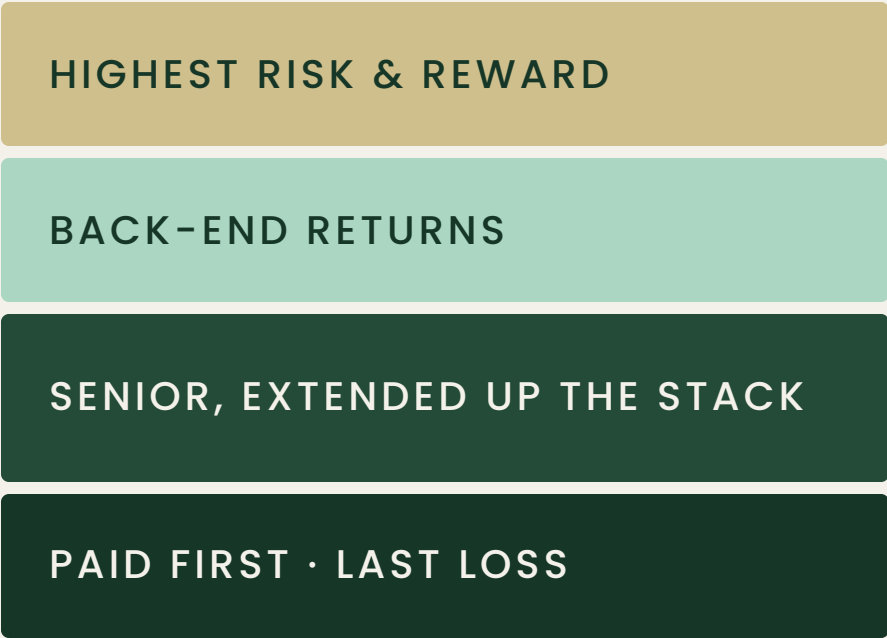
Where you sit in the capital stack.

GP / Promote
3–5%

LP Equity
20–30%

Stretch Senior
STRETCHES INTO MEZZ
FWC POSITION

Senior Debt
55–65% OF STACK



Operates the deal

First-dollar loss · Upside via exit

First lien · Higher yield

First lien · Secured · Contractual coupon

“Most LP investors have focused on last dollar equity in Commercial Real Estate.”

FWC originates both **Senior Debt** and **Stretch Senior** loans — the latter extends the senior position up into the mezzanine band for higher yield while preserving first-lien status.

A NOTE ON SCOPE

FWC **offers debt investment opportunities**, each collateralized by exceptional real estate. We can, however, help partners **structure** or **evaluate existing / potential LP equity positions** on an advisory basis — our underwriting lens applies across the stack.

BASIS PROTECTION

What has to go wrong before you lose money?



A **\$100M** construction project. FWC lends at **70% LTC**. The remaining **\$30M** of equity and subordinate capital absorbs every dollar of loss first.

“A project would need to lose more than 30% of its value before our principal is at risk.”

PROJECT-VALUE DROP	0% of project value
LOSS IN DOLLARS	\$0
LP EQUITY STATUS	Whole
FWC SENIOR STATUS	Untouched · paid

THE BENCHMARK

A Case-Study in Class A Multi-Family LP Equity

A bet on execution — the return is real when it materializes.

TARGET IRR

18—20%

Heavily influenced by market conditions at exit.

CURRENT PAY (COC)

0—6%

Low current pay, yield dependent on promote.

EQUITY MULTIPLE

1.7—2.0_x

Assuming deal performs as projected.

HOLD

3—7_{yrs}

Capital locked until sale or refi.

LOSS POSITION

First dollar

LP equity absorbs losses before any other tranche.

UPSIDE

Dependent

LP yield and upside are contingent on the property meeting forecasts.

THE ALTERNATIVE

How FWC debt investing works.

High current pay from day one — same asset, senior seat.

- 01 FWC originates senior construction, stretch senior, and bridge loans on middle market CRE assets.
- 02 Coupon priced at **SOFR + 300–450 bps** depending on seat in the capital stack.
- 03 Underlying leverage at **SOFR + 200–300 bps** amplifies the base coupon into **8–12% current pay** to partners.
- 04 By utilizing underlying leverage, your net check sizes at **\$8–25M** per deal.
- 05 36–60 month terms. Capital recycles. FWC co-invests.

CAPITAL PARTNER RETURN PROFILE

9–15% IRR 8–12% CoC

Term 36–60 months · First lien · Senior secured

FLOATING RATE · SOFR-INDEXED · QUARTERLY PAY

• COUPON SOFR + 300–450 · LEVERAGE SOFR + 200–300

REPLACEMENT COSTS

Lending below replacement cost.

A structural cost advantage built into every loan we make.



YOUR POSITION
FWC Loan Basis

COST TO BUILD NEW TODAY
Replacement Cost

FWC typically lends at 25–35% below replacement cost. If foreclosure becomes necessary, the acquired asset carries a built-in cost advantage from day one.

To compete, new construction must achieve higher rents, sale prices, or lease rates. FWC-financed collateral remains viable at revenue thresholds that would not be economically viable for a newly-built rival.

A DELIBERATE UNDERWRITING STANDARD — NOT A HYPOTHETICAL HEDGE.

EXIT MECHANICS

Two paths to a protected exit in Class A multifamily.

FWC's senior position is structured to be repaid in full across the most likely exit scenarios.

SCENARIO A

Refinance via agency takeout.

DSCR AT AGENCY RATE

>1.20 _x	ASSUMED AGENCY RATE	
	IN-PLACE T10 · 4.29%	
	T10 +135 bps	5.64%
	T10 +155 bps	5.84%
	T10 +175 bps	6.04%

The same NOI that falls short of covering debt service at our rate clears the 1.20_x agency threshold across the spread range.

At stabilization, FWC is taken out by permanent agency debt—repaid in full.
FWC rate 7.42% · Agency spread T10 +135–175 bps · Stabilized NOI \$3.67M on a \$50M loan

SCENARIO B

Exit via Real Estate sale.

CUSHION ABOVE FWC LOAN

~\$25M

A 250+ bps expansion in cap rates would imply a dislocation on par with or worse than the GFC.

At today's 4.90% cap rate, a sale clears FWC with roughly **\$25M** of cushion above our loan balance.

Today's cap rate 4.90% · Break-even cap rate ~7.35% · Implied sale value \$75M on a \$50M loan

SIDE BY SIDE

Return comparison.

BASE

DOWNSIDE

STRESSED

Base case · proforma execution at today's SOFR.

	LP Equity	FWC Debt
TARGET IRR	18% – 20%	9% – 15%
CURRENT PAY (COC)	0% – 3%	8% – 12%
EQUITY MULTIPLE	1.7× – 2.0×	1.3× – 1.5×
COUPON BASIS	—	SOFR + 300–450 bps
1ST DOLLAR LOSS	Yes — absorbs first	No — 35–40% buffer
RETURN TIMING	Primarily at Exit	Current · Quarterly

CURRENT PAY MATTERS

The math on a \$10M allocation.

- FWC COUPON SOFR + 300–450 · NET YIELD AMPLIFIED BY PORTFOLIO LEVERAGE SOFR + 200–300

LP EQUITY PATH

Annual current pay

\$200K/yr

2% COC · 3-YR HOLD

PRINCIPAL RETURNED IN CASH BEFORE MATURITY

6.0%

Over a 3-year hold at 2% CoC.

FWC DEBT PATH

Annual current pay

\$1.0M/yr

10% COC · 3-YR HOLD

PRINCIPAL RETURNED IN CASH BEFORE MATURITY

30%

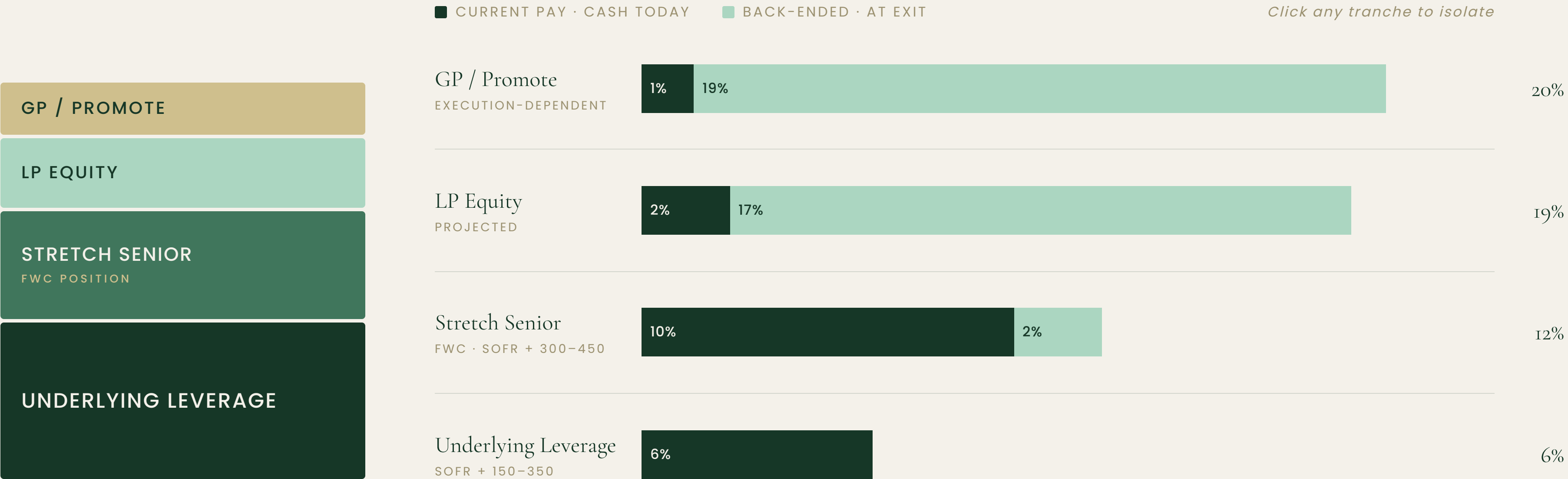
Over a 3-year debt investment at 10% CoC.

Current pay is not a consolation prize — it is a fundamentally different return profile.

STACK & RETURNS

Class A Multi-Family Capital stack & returns.

Move up the stack — change your risk and when you get paid.



SCALE: 0%–24% TOTAL RETURN · ILLUSTRATIVE

WHY THIS MARKET

The middle market advantage.
Institutional quality without institutional competition.

TOTAL LOAN SIZE

\$30–75^M
The underserved tier where FWC operates. Net checks of \$8M–\$25M.

FOCUS SECTORS

Multifamily ·
BTR · Industrial
Strong fundamentals. Primary & secondary markets.

SPONSOR ACCESS

Deal
relationships
We see deals before they hit the market.

BASIS PROFILE

Tighter
LTC & LTV
Middle market deals often price basis more conservatively.

UNDERWRITING DEPTH

Institutional
Bespoke models, heavy due diligence, smartly structured.

MANDATE

Experienced
sponsors only
Not speculative. Not distressed.

TATE TANGLEWOOD

431-unit multifamily bridge refinance.
Houston · \$750MM AUM Ownership

NET PROFIT	IRR	NET MULTIPLE	AVG PARTNER COC
\$3.7 _M	12.05%	1.35×	10.20%



ASSET TYPE	TOTAL LOAN	NET LOAN (PARTNER CHECK)
Class A Multifamily	\$56 _M	\$12 _M
LTC	COUPON TO BORROWER	UNDERLYING LEVERAGE
67%	SOFR + 315 _{bps}	SOFR + 250 _{bps}
TERM	DEBT YIELD AT STABILIZATION	UNDERLYING LEVERAGE DEBT YIELD
36 _{mo}	7.07%	9.10%

FIT

Who this is for.

A complement to LP equity — not a replacement.

IDEAL FOR INVESTORS SEEKING

- Current income and quarterly distributions.
- Capital preservation as a primary objective.
- Diversification away from last dollar equity.
- Shorter duration: 36–60 months vs. 5–7 years.
- Real asset security without operational complexity.

Fixed-income returns, secured by real assets — originated and managed by a team with deep CRE underwriting expertise.

Does 100% of your real estate exposure need to sit in the equity risk band? Most family offices benefit from a senior, income-generating allocation alongside their equity positions.

WHY FOREST WAY CAPITAL

We source, underwrite, and invest in every deal with you.

ORIGINATION-FIRST

We source, underwrite, and manage every loan we participate in.

CO-INVEST STRUCTURE

FWC capital is in every deal alongside partners, aligning incentives at the loan level.

INSTITUTIONAL UNDERWRITING

Full financial model review, site analysis, and sponsor diligence on every transaction.

TRANSPARENT REPORTING

Capital partners receive loan-level updates / not just fund-level summaries.

Transactions

800+ CLOSED

Capital Deployed

\$25B CAPITALIZED

Loss Rate

0.06% OVER
14+ YRS

NEXT STEPS

We'd like to walk you through a live deal.

MINIMUM PARTICIPATION

TBD

Per loan · Co-invest structure

CONTACT

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FOLLOW-UP

Co-investment structure overview
& illustrative deal one-pager
available.

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